



Cambridge International AS & A Level

ECONOMICS

9708/12

Paper 1 Multiple Choice

May/June 2020

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
- Any rough working should be done on this question paper.

Done

This document has **12** pages. Blank pages are indicated.

lack of information, merit goods, undervalued, loss of External Benefit

2

1 Which statement is the most valid reason for government intervention in a free market economy?

- No need to intervene
- A Consumers are well informed, making it difficult for producers to make profits.
- ☒ B Health and education are not available in sufficient quantities. market failure
- C Producers are motivated only by profit. → price mechanism
- D There are many competitive firms and not enough sole suppliers. No need to intervene

2 What would **not** be considered a barter transaction?

- A a car repairer undertaking the annual service on a plumber's van in return for the plumber fitting a new sink in the car repairer's kitchen Barter
- ☒ B a consumer negotiating with a shopkeeper and buying a pair of trousers at US\$10 rather than the asking price of US\$30 Money
- C a graduate student exchanging a set of textbooks for a radio with a student about to start the course Barter
- D a train company allowing a phone company to advertise on its trains in return for the right to advertise on the phone company's website Barter

3 A factory introduces an automated production line to take advantage of division of labour.

What is most likely to increase?

- A average cost of production AC ↓
- B job satisfaction of workers reduces
- C range of skills of each worker reduces
- ☒ D worker productivity ↑

efficiency ↑
specialization
productivity ↑
output per worker ↑

4 Which statement is normative? opinion

- ☒ A A minimum wage is the correct government policy to increase the incomes of the lowest paid workers. opinion
- B A minimum wage is the lowest amount that employers can legally pay their workers.
- C In Pakistan, a minimum wage of 15000 Pakistani Rupees per month was set on 1 June 2016.
- D Setting the minimum wage rate above the equilibrium will result in an excess supply of workers.

All are positive statements.

Here's an example of a positive economic statement:
"Government-provided healthcare increases public expenditures." This statement is fact-based and has no value judgment attached to it. Its validity can be proven (or disproven) by studying healthcare spending where governments provide healthcare.

Normative economics aims to determine people's desirability or the lack thereof to various economic programs, situations, and conditions by asking what should happen or what ought to be. Therefore, normative statements typically present an opinion-based analysis in terms of what is thought to be desirable.

- 5 In the diagram, D is the demand curve for an agricultural commodity and S_1 is the initial supply curve. A good harvest causes the supply curve to shift to S_2 .

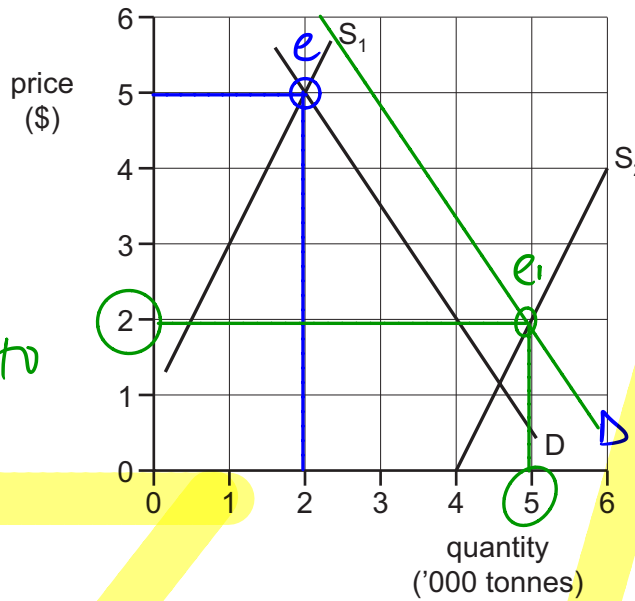
Step #1:-

$$5 \times 2000 = 10000$$

[TR]

Step #2:-

Shifting demand to bring the TR = 10000



Step #3:-

How much did the demand shift

$$e_1 :- 2 \times 5000$$

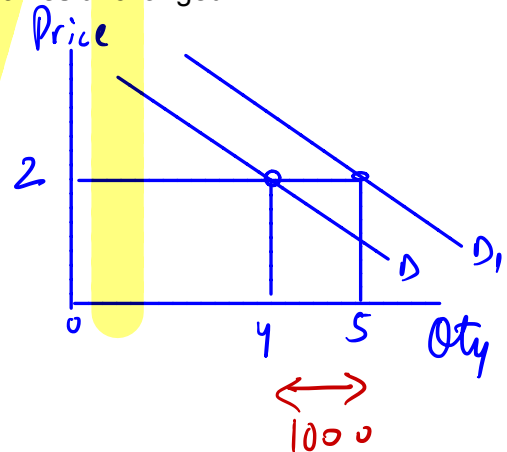
$$TR = 10000$$

By how much will the demand curve have to shift to leave farm incomes unchanged?

- A 500 tonnes at all prices
 B 1000 tonnes at all prices
 C 2000 tonnes at all prices
 D 4000 tonnes at all prices

Step #4:-

* At New price, earlier Demand was '4' and new Demand is '5'



- 6 A manufacturer progressively reduces the price of his product.

The table shows the outcome of this policy.

price (\$)	total revenue 000s (\$)
10	750
9	750
8	750

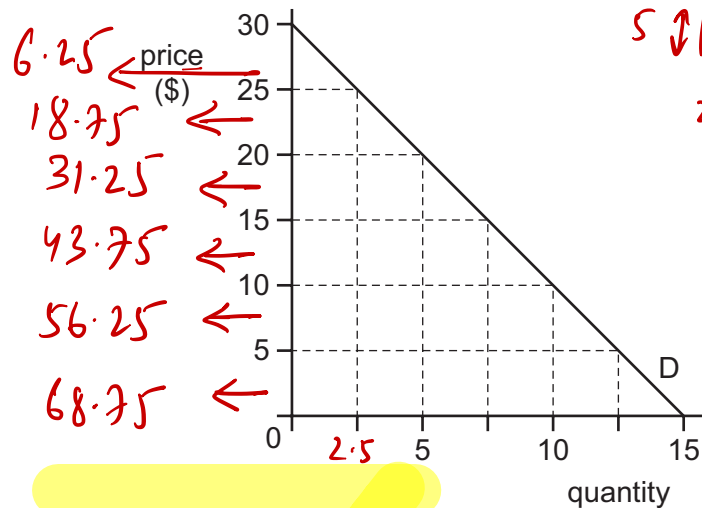
Total revenue unchanged, only under Unitary

What is the price elasticity of demand for the product?

- A perfectly inelastic P and TR +ve
 B relatively inelastic P and TR +ve
 C perfectly elastic P and TR -ve
 D unitary

% Δ in price is equal to % Δ in Qty

- 7 The diagram shows a consumer's demand curve for a product.



$5 \uparrow \square \Rightarrow \text{Area: } 12.5$
 $\leftarrow \rightarrow$
 2.5

$\triangle \Rightarrow \frac{1}{2} \times b \times h = 6.25$
 $\downarrow \quad \downarrow$
 $2.5 \quad 5$

How does consumer surplus change as the price of the product rises?

A It falls at a constant rate (%) with each \$5 rise.

B It falls by a constant amount with each \$5 rise.

☒ C It falls by a decreasing amount with each \$5 rise.

D It falls by an increasing amount with each \$5 rise.

Amount is changing

Decreasing not increase

- 8 Following the introduction of a 10% increase in charges for car parking in a city centre, the demand for bus journeys per day into the city rose from 800 to 1000.

What was the cross elasticity of demand for bus journeys with respect to car parking charges?

A -0.4

B +0.4

☒ C +2.0

☒ D +2.5

$\% \Delta = 25\%$

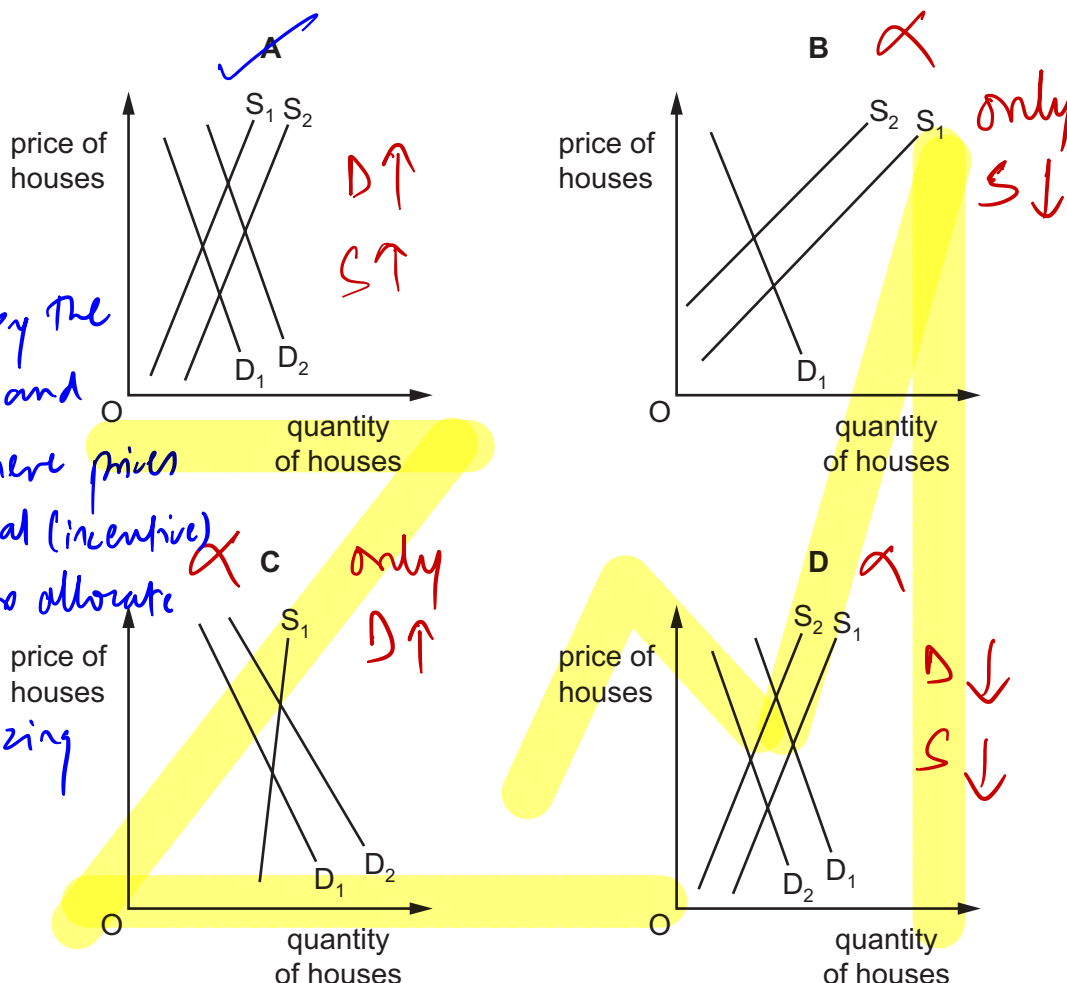
$$XED := \frac{QD_{Bus}}{P_{car}} = \frac{25\%}{10\%} = +2.5$$

Because of substitutes

- 9 An economy is suffering from a housing shortage. The demand for housing continues to rise as real incomes increase and more construction firms enter the market to build more houses.

Which diagram represents this situation?

11. Prices are determined by the forces of demand and supply where prices provide signal (incentive) to producers to allocate resources in profit maximizing manner.



- 10 A good has a price elasticity of supply of 2.0. The current quantity supplied is 300 units per week at a market price of \$20 per unit. The firm raises the price to \$25 per unit.

What will the new quantity supplied be per week?

- A 150 units
B 375 units
C 400 units
D 450 units

$$PES = \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in price}}$$

$$2 = \frac{n - 300}{300} \times 100$$

$$50 = \frac{n - 300}{3}$$

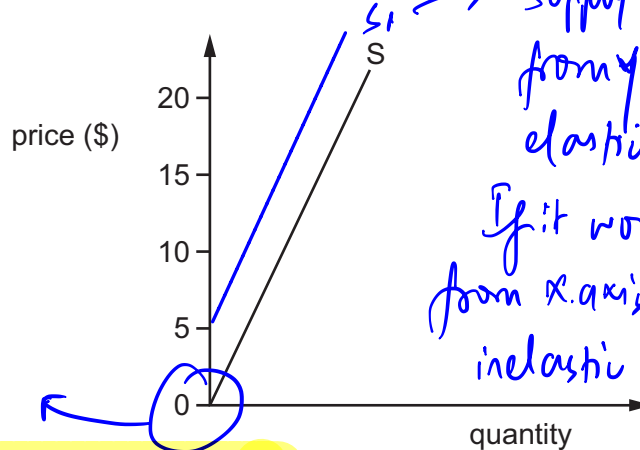
$$150 = n - 300$$

$$n = 450$$

- 11 What is a major function of the price mechanism?

- A providing incentive for government intervention to reduce income inequality
B removing shortages by creating incentives for market prices to fall $P \uparrow$ in case of shortage
C removing surpluses by creating incentives for market prices to rise $P \downarrow$ in case of surplus
D signalling changes in market conditions to producers and consumers

12 The diagram shows the supply curve of a product.



The government imposes a specific indirect tax of \$5 on the product.

How will the price elasticity of supply of the product change?

- A from elastic (>1) to inelastic (<1)
- B from inelastic (<1) to elastic (>1)
- C from inelastic (<1) to unitary ($=1$)
- ☒ D from unitary ($=1$) to elastic (>1)

13 In the market for a good the quantity supplied (Q_S) and the quantity demanded (Q_D) are given by $Q_S = P - 30$ and $Q_D = 240 - 2P$ where P = price in dollars.

A change in the tax on the good makes $Q_S = P - 36$.

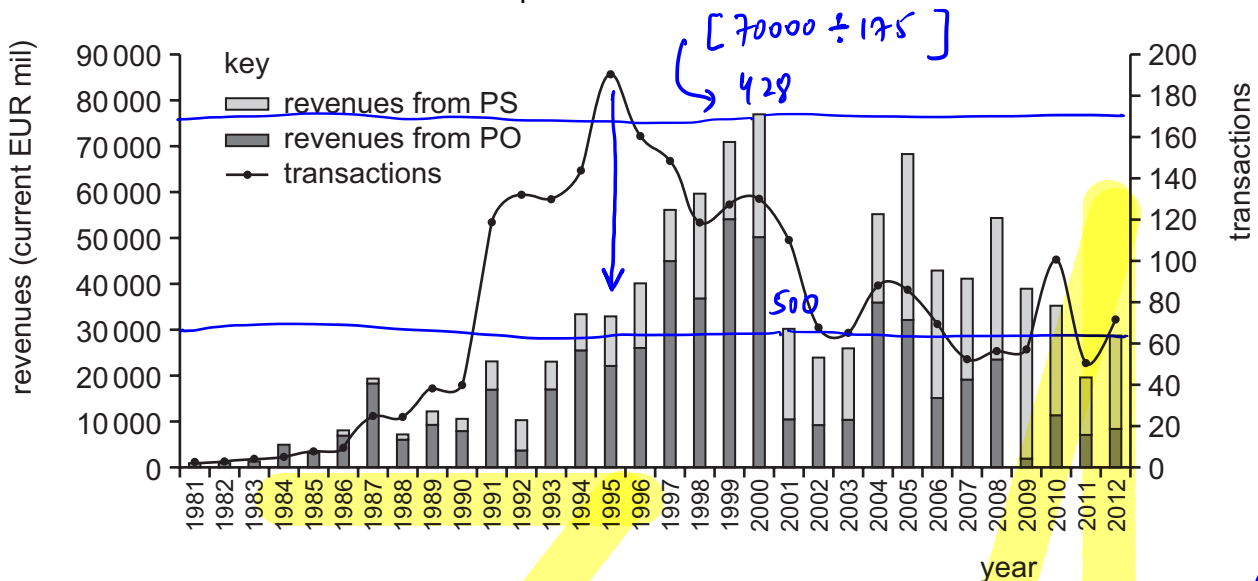
How will the change affect equilibrium price?

- A It will fall by \$2.
- B It will fall by \$6.
- ☒ C It will rise by \$2.
- D It will rise by \$6.

$$\begin{aligned}
 Q_d &= Q_s \\
 240 - 2P &= P - 30 \\
 270 &= 3P \\
 P &= 90 \\
 Q_d &= Q_s' \\
 240 - 2P &= P - 36 \\
 276 &= 3P \\
 P &= 92
 \end{aligned}$$

\$2 ↑

- 14 Privatisation can be achieved by the sale of shares to the general public (public offers, PO) or by the direct sale to a private company (private sales, PS). The diagram shows privatisation transactions and revenue for the European Union between 1981 and 2012.

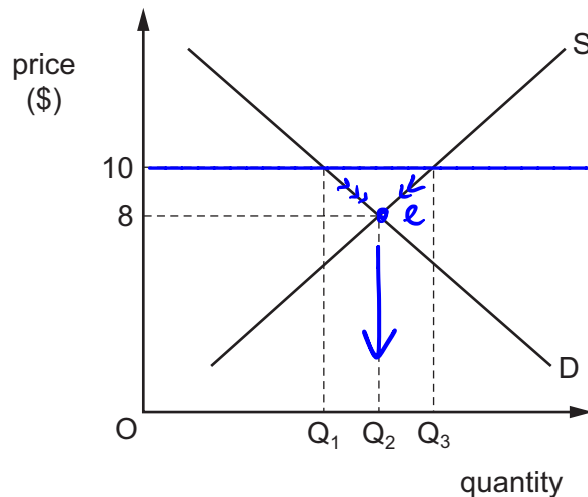


What can be concluded from the diagram?

- A Any increase in the number of privatisations resulted in an increase in privatisation revenue. *See 1995 → highest transactions but not greater revenue*
- B The average revenue per privatisation was highest in 2000. *See '2' calculations*
- ✓ C The main revenue from privatisation changed from public offers to private sales. *see below*
- D The number of privatisations and revenue raised peaked in the same year. *No, again reference to option A.*

- * Revenues from PS → Rising *option 'C'*
- * Revenue from PO → falling
- * Transaction, highest in 1995, then fall.

15 The diagram shows the market demand and supply curves for rice.



What would happen if a government imposed a maximum price of \$10?

- A The government would need to supply Q_1 to Q_3 .
- B The quantity sold would be Q_1 .
- ☒ C The quantity sold would be Q_2 .
- D The quantity sold would increase from Q_2 to Q_3 .

16 A government decides to replace a private company with its own company to collect household waste.

Why could such action be justified?

- A Because waste collection is a public good. *No*
- B Costs of waste collection are bound to be lower if paid out of local taxes. *No*
- C Private companies are always less efficient than government companies.
- ☒ D Private companies might put profits before customer needs. *Always*

17 Which measure would not be part of a government subsidy to protect domestic producers from competition?

- ☒ A import quotas , *Qty restricted, M prices ↑*
- B interest-free loans provided by the government
- C reductions in profits (business) taxes
- D transfer payments *(Government spending)*

unemployment Benefits
No contribution to GDP in return

All are forms of subsidy, helps firms to compete

- 18 A country's railways are currently run by private firms. It has been suggested that the government should nationalise the railways.

What might be a reason for this?

- ✓ A to control prices of railway services *as private firms tend to overcharge*
 B to encourage competition in railway services *privatize karnese hoga*
 C to increase the profit incentive *Part of private firm*
 D to provide jobs for local people *that is being done by private firms*

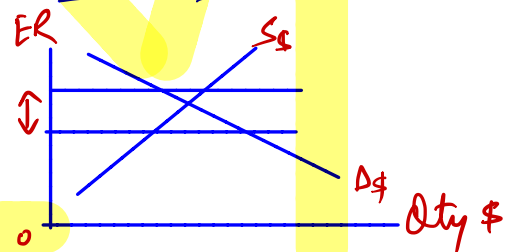
- 19 What is likely to cause a decrease in aggregate demand?

- ✓ A an appreciation in the exchange rate, *results in trade deficit, AD ↓*
 B an improvement in consumer confidence *C ↑, AD ↑*
 C an increase in government expenditure *G ↑, AD ↑*
 D an increase in the money supply, *R ↓, C ↑, I ↑, X ↑, M ↓, AD ↑*

- 20 A country maintains its foreign exchange rate against the United States dollar, within a narrow but changing band. *Managed floating*

What is this type of exchange rate?

- A fixed *No Band, single rate fixed*
 B floating *No Band, No fixed*
 ✓ C managed float
 D trade-weighted *Trading concept, No link to Type of exchange rate*



- 21 Which components are included in the financial account of the balance of payments?

	the balancing item	foreign direct investment	interest, profits and dividends
✓ A	✓	✓	x
B	✓	x	x
C	x	✓	✓
D	x	x	✓

→ current A/C

key

✓ = included

x = not included

22 Which argument is an importer most likely to use to gain the support of consumers for free trade?

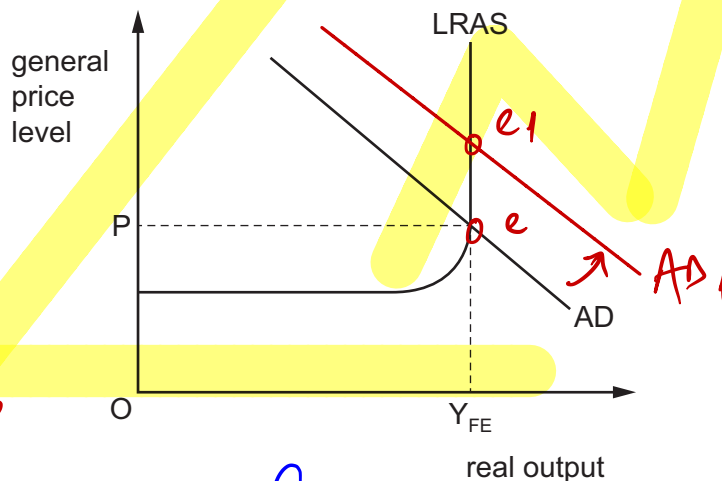
- no tools of protectionism*
 A More imports allow the government to raise revenue from tariffs. *It's free trade*
 B More imports improve the country's terms of trade. *X prices / M prices x 100*
 ✓ C More imports increase competition in the domestic economy. *Higher choices*
 D More imports raise total employment in the domestic economy. *Unemployment ↑*

23 According to US Consumer Prices Index (CPI) statistics, an identical good that cost \$100 in 1913 would cost \$2359.60 in 2013.

What was the approximate cumulative rate of inflation over the period? *→ You can apply % Δ*

- A 23% B 230% ✓ C 2300% D 23000%

24 The diagram shows an economy at full employment equilibrium.



Which short-run measures should the government take to maintain the economy's current equilibrium if there is an unexpected balance of trade surplus? *→ AD ↑*

- G ↑ AD ↑ (so AD rise further)*
 A higher government spending on education financed by an equal rise in direct taxation *C ↓ AD ↓*
 ✓ B higher direct taxation with government spending unchanged to create a budget surplus *AD ↓ (e achieved)*
 C higher spending on infrastructure financed by a budget deficit *G ↑, AD ↑*
 D lower interest rates to promote investment spending in the private sector *I ↑, AD ↑*

25 Why does the value of a country's terms of trade have no monetary units?

- can*
 A It cannot be calculated accurately enough.
 B It includes more than one currency. *No*
 ✓ C It is a ratio of two index numbers. *[Index X prices / Index M prices x 100]*
 D It measures change over time. *No*

As only focus will be on one industry.

26 The statements that follow relate to possible gains from an increase in free trade.

Which gain is least certain to result in the short run?

A a reduction in costs of production $AC \downarrow$

B a rise in the number of jobs

C a wider choice of goods available to consumers

D an increase in the level of competition

It doesn't create quickly (higher chances of unemployment)
specialization
All countries using up resources at producing the best they can

27 In an economy with an interest rate of 4% per annum, the rate of inflation falls from 5% to 3% per annum.

What will be a benefit of this fall?

A Menu costs will fall to zero.

B People on fixed incomes will be better off in real terms.

C Savers will gain in real terms.

D The purchasing power of the currency will rise.

$$\text{Real } e = \text{Nominal } e - \text{Inflation}$$

$$= 4 - 5 = -1$$

$$= 4 - 3 = +1 \geq \text{gain}$$

(No information on nominal)
(No information)

28 Which combination correctly classifies an expansionary fiscal measure and its impact on a budget deficit?

	fiscal policy	budget deficit
A	increased quantitative easing	unchanged
B	increased welfare spending	increased
C	lower income tax	reduced
D	lower interest rates	unchanged

Monetary

→ It will rise

Monetary

29 In 2018 the United States (US) government introduced tariffs on a wide range of imports from China.

Which type of policy was the US government adopting?

A expenditure-reducing

B expenditure-switching

C monetary

D supply-side

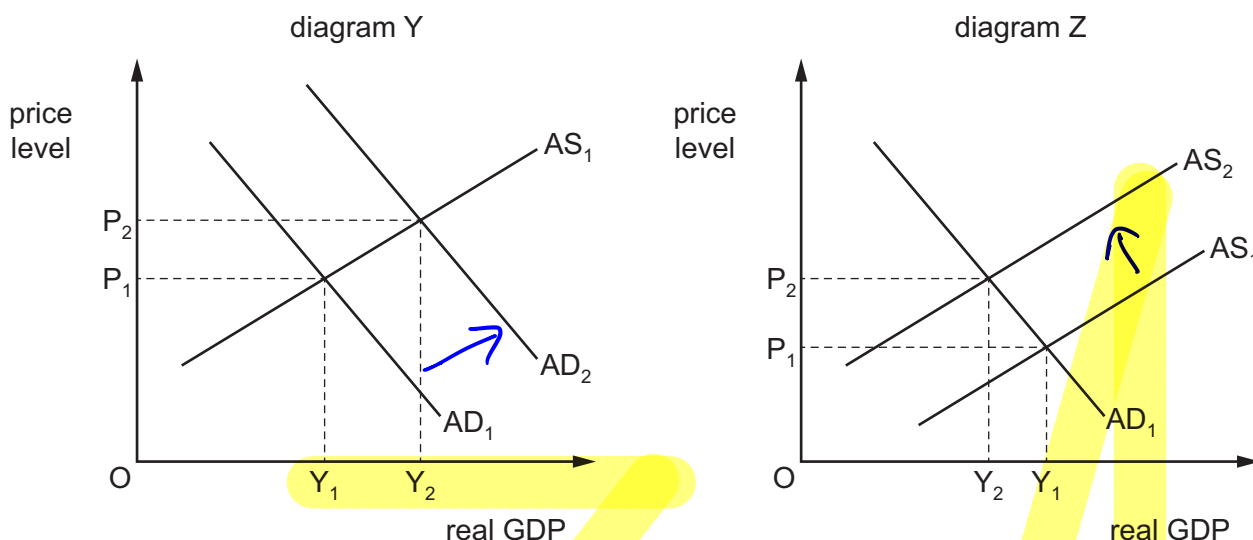
(Fiscal and monetary)

(option A)

(Related to switching e.g. subsidy)

Expenditure switching policy

- 30 During the Great Depression the US government believed that deflation was caused by a collapse in the prices of stock and other assets, reducing the levels of wealth and confidence. The diagrams show two approaches to counter deflation.



Given this belief, which policy should the US government have used, in an attempt to remove the deflation and which diagram represents the intended outcome of the policy?

	policy	intended outcome
A	decrease interest rates	diagram Y $AD \uparrow$
B	reduce corporation tax	diagram Z $AS \downarrow$ (real GDP $\downarrow$)
C	increase interest rates	diagram Z
D	reduce corporation tax	diagram Y

$R \downarrow$
 Save $\downarrow$, Borrow $\uparrow$
 spend $\uparrow$, Invest $\uparrow$
 price of stock/assets $\uparrow$
 $AD \uparrow$

$AD \downarrow$

Doesn't relate
to stock/assets

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